Question #1 of 22

Question ID: 1675813

Ted Willis received his CFA designation in 1998 and was employed as an investment counselor until 2003. During the past several years, Willis has been out of work because of a serious illness. He also failed to pay his annual CFA Institute dues during the current year. Willis has now recovered and accepted a position with an investment advisory firm. His new business card says, "Ted Willis, CFA." As part of his job with his new firm, Willis makes PowerPoint presentations to groups of prospective clients. He obtained some of these slides from websites, but he removed the copyright notice before showing the slides to prospective clients.

Which of the following statements about Standard VII(B): Reference to CFA Institute, the CFA Designation, and the CFA Program, and Standard I(C): Misrepresentation, is *most accurate*? Willis:

A) did not violate either Standard VII(B) or Standard I(C).

B) violated Standard VII(B), but he did not violate Standard I(C).

C) violated both Standard VII(B) and Standard I(C).

Explanation

Willis violated Standard VII(B) because his right to use the CFA designation was suspended when he stopped paying CFA Institute dues. Thus, he can no longer use the CFA designation on his business card. Willis also violated Standard I(C) because he was guilty of plagiarism. He inappropriately used copyrighted material, which provided the impression that such material was his own.

(Module 20.9, LOS 20: VII(B))

Question #2 of 22

Question ID: 1675812

A CFA Institute member puts the following statement on her resume: "I passed each level of the CFA exam on the first try." Is this a violation of Standard VII(B)?

A) Yes, because she incorrectly refers to the CFA exam.

B) Yes, because saying she passed exams on the first try is not appropriate.

C) No, because it is a statement of fact.

Explanation

The statement is not a violation because it is a fact. However, the member must not go on to claim superior performance.

(Module 20.9, LOS 20: VII(B))

Question #3 of 22

Question ID: 1675802

Which of the following is *least likely* a violation of Standard VII(A): Conduct as Participants in CFA Institute Programs?

A) Improperly using the CFA designation to further professional goals. ✗

B) Disregarding the rules related to the administration of the CFA examination. ✗

C) Expressing opinions in disagreement with CFA Institute advocacy positions. ✓

Explanation

Members and candidates are allowed to express their opinions about the CFA Institute and CFA Program. Both of the other choices violate Standard VII(A): Conduct as Participants in CFA Institute Programs.

(Module 20.9, LOS 20: VII(A))

Question #4 of 22

Question ID: 1675805

Which of the following actions would be a violation of the Standard VII(A): Conduct as Participants in CFA Institute Programs?

A) Misrepresenting information on the Professional Conduct Statement. ✓

B) Exaggerating the implications of holding the CFA designation. ✗

C) Using the CFA designation without submitting a Professional Conduct Statement and paying annual dues. ✗

Explanation

Misrepresenting information on the Professional Conduct Statement is a direct violation of Standard VII(A): Conduct as Participants in CFA Institute Programs. The other choices are violations of Standard VII(B): Reference to CFA Institute, the CFA Designation, and the CFA Program.

(Module 20.9, LOS 20: VII(A))

Question #5 of 22

Question ID: 1675814

When Wes Smith first joined Advisors, Inc., he was excited that all the analysts at the firm had the CFA designation. In letters to prospective clients, he states that this ensures that Advisors can provide better service than their competitors. With respect to Standard VII(B): Reference to CFA Institute, the CFA Designation, and the CFA Program, this is a violation:

A) for both mentioning the CFA designation and saying the firm can guarantee better service. ✗

B) because he cannot guarantee better service. ✓

C) because he mentions the CFA designation in the letter. ✗

Explanation

According to Standard VII(B), the analyst cannot guarantee better service. Smith can mention the fact that all analysts have the designation, but he is limited in what he can say with respect to this fact. He could say, for example, that this means the analysts all had to take and pass three rigorous exams.

(Module 20.9, LOS 20: VII(B))

Question #6 of 22

Question ID: 1675806

While on a business trip, John Hayes, CFA, found a notebook that had apparently been left in the waiting area of an airport. Hayes opened the notebook and read the title: *Confidential: Level II CFA Examination*. Before returning the notebook to CFA Institute, he made a copy and gave it to Linda Sacket, one of his firm's analysts, who was a candidate for Level II of the CFA examination. Sacket read the questions and guideline answers before taking the Level II examination. According to the CFA Institute Standards of Professional Conduct:

A) Hayes violated the Standards, but Sacket did not. ✗

B) both Hayes and Sacket violated the Standards. ✓

C) Sacket violated the Standards, but Hayes did not. ✗

Explanation

Both violated Standard VII(A): Conduct as Participants in CFA Institute Programs because they compromised the validity of the examinations.

(Module 20.9, LOS 20: VII(A))

Question #7 of 22

Question ID: 1675801

Lindsay Gordon is a Level II CFA candidate living in San Francisco. Gordon's best friend, Steve Haney, also a Level II candidate, is living in Munich. Because of the time difference between Munich and San Francisco, Gordon suggests that Haney call Gordon during the Munich exam lunch break to discuss the morning exam. Haney makes the call on exam day.

Which of the following statements regarding Gordon and Haney is *most accurate*?

A) Neither Gordon nor Haney is in violation of the Code and Standards. ✗

B) Both Gordon and Haney are in violation of the Code and Standards. ✓

C) Gordon is in violation of the Code and Standards, but Haney is not in violation. ✗

Explanation

Both Gordon and Haney violated Standard VII(A): Conduct as Participants in CFA Institute Programs by compromising the integrity of the exam.

(Module 20.9, LOS 20: VII(A))

Question #8 of 22

Question ID: 1675809

Ralph Lim and Susan Bland have both passed Level I of the CFA Program. Both are currently enrolled to sit for Level II. Lim's business card reads, "Ralph Lim, CFA Level I." Bland's resume states, "Level II Candidate in the CFA Program." According to CFA Institute Standards of Professional Conduct involving use of the professional designation:

A) Lim violated the Standard, but Bland did not. ✓

B) Bland violated the Standard, but Lim did not. ✗

C) Both Lim and Bland violated the Standard. ✗

Explanation

There is no designation for someone who has passed Level I, Level II, or Level III of the CFA examination. Candidates may state, however, that they have completed Level I, II, or III, as the case may be, in the CFA Program. Thus, Lim violated the Standard, but Bland did not.

(Module 20.9, LOS 20: VII(B))

Question #9 of 22

Question ID: 1675819

All of the following are required for a CFA Institute member to maintain his or her active status except:

A) paying membership dues to CFA Institute on an annual basis.

B) remitting a completed Professional Conduct Statement on an annual basis.

C) passing each exam in no more than two tries.

Explanation

Passing each exam in two or fewer tries is not required to maintain active status as a member of the CFA Institute. CFA Institute imposes both of the other choices.

(Module 20.9, LOS 20: VII(B))

Question #10 of 22

Question ID: 1675800

All of the following are violations of conduct as members and candidates in the CFA Program except:

A) disregarding the rules related to the administration of the CFA examination.

B) providing confidential program information to the public.

C) expressing opinions in disagreement with CFA Institute advocacy positions.

Explanation

Members and candidates are allowed to express their opinions about the CFA Institute and CFA Program without violation of any Standards. All of the other choices are in direct violation of Standard VII(A): Conduct as Members and Candidates in the CFA Program.

(Module 20.9, LOS 20: VII(A))

Question #11 of 22

Question ID: 1675817

Nichole Zeller and Randy Toffler have both passed Level II of the CFA Program exam and have registered for Level III. Zeller circulates a resume stating that she is a candidate for the CFA designation and has passed Level II of the CFA Program. Toffler circulates a resume stating that he is a CFA II. Which of the following statements is correct?

A) Only Toffler has violated the Code of Standards.

B) Both Zeller and Toffler have violated the Code of Standards.

C) Only Zeller has violated the Code of Standards.

Explanation

The Code and Standards permit an individual to state that he or she is a candidate for the CFA designation, as long as the person is registered for the next CFA exam. The same individual may state the fact that he or she has passed Level I or II of the CFA Program. There is no partial designation, such as CFA II.

(Module 20.9, LOS 20: VII(B))

Question #12 of 22

Question ID: 1675820

In 2004, Nancy Arnold received an undergraduate business degree with a management major and completed all requirements for the CFA designation imposed by CFA Institute. She is applying for employment at several brokerage firms. Her resume states, "I was awarded the CFA degree in 2004 by CFA Institute." Her resume also states that she graduated "with honors" and majored in finance. Her grade point average was 3.48, but "with honors" requires a 3.50 grade point average.

Which of the following statements about Standard VII(B): Reference to CFA Institute, the CFA Designation, and the CFA Program, and Standard I(C): Misrepresentation, is correct? Arnold:

A) did not violate either Standard VII(B) or Standard I(C).

B) violated Standard I(C), but she did not violate Standard VII(B).

C) violated both Standard VII(B) and Standard I(C).

Explanation

Arnold violated Standard VII(B). The CFA designation should not be referred to as a degree. Arnold also violated Standard I(C) because her claim that she graduated "with honors" is not true.

(Module 20.9, LOS 20: VII(B))

Question #13 of 22

Question ID: 1675807

Stephanie Irons, Level II CFA candidate, regularly posts in internet chat rooms dedicated to candidates studying for the Level II exam. Throughout the season, she and other candidates discuss curriculum content in great detail. Three days after the exam, she returns to the site and vents her frustrations over complicated exam questions by posting questions she remembers on the site, and asking others for their responses and reasoning. Other candidates follow suit and post the questions they remember. Within a week, Irons and her fellow candidates are able to reconstruct about 85% of the exam from their collective memory. Irons and her fellow candidates are *most likely*:

A) not in violation because the information about the actual exam contents was posted after the conclusion of the exam.

B) in violation of Standard VII(A) of the Code and Standards for discussing curriculum content in a public forum before the exam.

C) in violation of Standard VII(A) of the Code and Standards for providing confidential information about the exam.

Explanation

Standard VII(A): Conduct as Participants in CFA Institute Programs prohibits members and candidates from providing confidential information about the exam, even after the conclusion of the exam.

(Module 20.9, LOS 20: VII(A))

Question #14 of 22

Question ID: 1675810

Janet Olson, CFA, is an analyst at Quantech Associates. Olson attended a conference at which Brian Wright presented several proprietary computerized spreadsheets that he had developed to value high-tech stocks. While at the conference, Olson copied the spreadsheets without Wright's knowledge. Later, Olson made several minor changes to Wright's initial model. After testing the revised model, Olson was impressed with the results. As inputs for the model, she used factual materials supplied by Moody's Investors Service, a recognized financial and statistical reporting service. Olson wrote a research report describing the revised model and its results and distributed the report to Quantech's clients. According to CFA Institute Standards of Professional Conduct, which of the following actions is Olson required to take? Olson is required to:

A) acknowledge Moody's Investors Service as the source of the data, but she is not required to seek authorization from Wright to copy the spreadsheets or to acknowledge Wright for developing the initial model.

seek authorization from Wright to copy the spreadsheets and acknowledge

B) Wright for developing the initial model and Moody's Investors Service as the source of the data.

seek the authorization from Wright to copy the spreadsheets and acknowledge

C) Wright for developing the initial model, but she is not required to acknowledge Moody's Investors Service as the source of the data.

Explanation

To comply with Standard I(C): Misrepresentation, Olson should have gotten the authorization from Wright to copy the spreadsheets. The prohibition against plagiarism requires that Olson identify Wright as the source of the initial model. However, the Standard permits publishing factual information from Moody's Investors Service without acknowledgment because Moody's is recognized as a source of factual materials.

(Module 20.9, LOS 20: VII(B))

Question #15 of 22

Question ID: 1675816

Robert Hopkins has earned the right to use the CFA designation and wants to indicate this on his business card. According to CFA Institute Standards of Professional Conduct, which of the following is the proper use of the professional designation on his business card?

A) Robert Hopkins, cfa.

B) Robert Hopkins, C.F.A.

C) Robert Hopkins, Chartered Financial Analyst.

Explanation

The CFA designation should always be capitalized and shown without periods. The CFA designation should not be referred to as a degree. Placing the designation "CFA" or "Chartered Financial Analyst" after one's name on a resume, business card, brochure, or other published material is appropriate.

(Module 20.9, LOS 20: VII(B))

Question #16 of 22

Question ID: 1675808

Stephanie Orange, Level II CFA candidate, posts blogs for her exam study group three days after the exam to vent her frustrations over the exam. However, to avoid disclosing what was actually on the exam, she only discusses topic areas she thought would be on the exam that were not. She writes, "The topics selected were unnecessarily obscure. Important items like FCF, DDM, and Residual Income were ignored completely." Orange is *most likely*:

A) not in violation because the information was only about what was not on the exam. ✗

B) in violation of Standard VII(A) of the Code and Standards for providing confidential information about the exam. ✓

C) not in violation because the information about the actual exam contents was posted only after the conclusion of the exam. ✗

Explanation

Standard VII(A): Conduct as Participants in CFA Institute Programs prohibits members and candidates from providing confidential information about the exam—even after the conclusion of the exam. Examples include broad topical areas tested or not tested.

(Module 20.9, LOS 20: VII(A))

Question #17 of 22

Question ID: 1675804

Ron Vasquez is registered to sit for the Level II CFA exam. Unfortunately, Vasquez has failed the exam the past two years. In his frustration, Vasquez posted the following comment on a popular internet bulletin board: "I believe that CFA Institute is intentionally limiting the number of charterholders to increase its cash flow by continuing to fail candidates. Just look at the pass rates."

Which of the following statements regarding Vasquez's conduct is *most accurate*? Vasquez is:

A) in violation of Standard VII(A): Conduct as Participants in CFA Institute Programs, but not in violation of Standard I(D): Misconduct. ✗

B) not in violation of Standard I(D): Misconduct or Standard VII(A): Conduct as Participants in CFA Institute Programs. ✓

C) in violation of both Standard I(D): Misconduct and Standard VII(A): Conduct as Participants in CFA Institute Programs. ✗

Explanation

Standard VII(A): Conduct as Participants in CFA Institute Programs does not prohibit expressing opinions about the program or the CFA Institute. Thus, Vasquez is not in violation. Nothing in the facts indicates a violation of Standard I(D): Misconduct. Standard I(D) deals with professional conduct involving dishonesty, fraud, or deceit.

(Module 20.9, LOS 20: VII(A))

Question #18 of 22

Question ID: 1675815

All of the following statements in promotion of your services are in violation of CFA Institute Standards of Practice handbook except:

A) "I passed Level II of the CFA Program in 2003." ✓

B) "I guarantee under my management that you will receive returns in excess of the market index average." ✗

C) "based upon my research, you will achieve a 20% compound annual rate of return on small-cap stocks over the next five years." ✗

Explanation

Candidates may refer to the CFA level(s) passed and the associated dates, as long as a partial designation is not implied. They may not guarantee or promise a given level of return.

(Module 20.9, LOS 20: VII(B))

Question #19 of 22

Question ID: 1675803

For the past five years, Karen Beckworth, CFA, has served as a proctor for the CFA exam. Beckworth tells her assistant, a Level III CFA candidate, that she normally receives the examinations on the Thursday before the exam. Given the low pass rate at Level III, Beckworth asks her assistant if he would like an advance copy of the next exam. Beckworth's assistant declines the offer.

Beckworth's assistant has been very vocal about expressing his opinions about the low pass rate. The assistant claims, "There are too many charterholders, and CFA Institute is deliberately failing candidates because the prestige of the CFA charter is becoming diluted."

Regarding Standard VII(A): Conduct as Participants in CFA Institute Programs, which of the following statements concerning Beckworth's and her assistant's behavior is *most accurate*?

A) Both Beckworth and her assistant are in violation of Standard VII(A). ✗

B) Neither Beckworth nor her assistant is in violation of Standard VII(A). ✗

C) Beckworth is in violation of Standard VII(A), but her assistant is not in violation. ✓

Explanation

Beckworth is in violation of Standard VII(A): Conduct as Participants in CFA Institute Programs. Beckworth compromised the integrity of the exam by offering her assistant an advance copy. Beckworth's assistant is allowed to express his opinion without violation of any Standards.

(Module 20.9, LOS 20: VII(A))

Question #20 of 22

Question ID: 1675818

Julie Stades retired several years ago and relinquished her membership in CFA Institute. She had the CFA designation up until then. She has decided to go back to work and puts the following statement on her resume: "I earned the CFA designation 10 years ago." Is this a violation of Standard VII(B)?

A) Yes, she has used the letters "CFA" in an undignified manner. ✗

B) Yes, because she uses "CFA" as a noun. ✗

C) No, as long as she does not indicate she currently has the designation. ✓

Explanation

Stades is allowed to state that she earned the designation, as long as she does not infer that she currently has the designation.

(Module 20.9, LOS 20: VII(B))

Question #21 of 22

Question ID: 1675811

Judy Albert and Bob Tye, who recently started their own investment advisory business, plan to take the Level III CFA examination next year. Albert's business card reads, "Judy Albert, CFA level II candidate." Tye has not put anything about the CFA on his business card. However, the firm's promotional materials describe the CFA requirements and indicate that Tye participates in the CFA Program and has completed Levels I and II. According to CFA Institute Standards of Professional Conduct:

A) Neither Albert nor Tye has violated the Standards. ✗

B) Albert has violated the Standards, but Tye has not.

C) Both Albert and Tye have violated the Standards.

Explanation

On letterheads and business cards and in directory listings, only the mark "CFA" or the words Chartered Financial Analyst should appear after the charterholder's name. It would be acceptable for Judy to make a factual statement that she is a CFA Level II candidate, but it cannot be presented in the format as given immediately after her name. It would have to be a separate statement, and not after her name. Having the letters "CFA" after her name may imply some sort of "partial designation," which is not permissible.

(Module 20.9, LOS 20: VII(B))

Question #22 of 22

Question ID: 1675821

Which of the following statements is *most likely* not a violation of Standard VII(B) if it is included on a CFA charterholder's resume?

A) "My earning of the CFA designation indicates my superior ability and my desire to maintain high standards."

B) "My earning of the CFA designation indicates my superior ability."

C) "My earning of the CFA designation indicates my desire to maintain high standards."

Explanation

A CFA charterholder may not make claims about how earning the designation proves superior capabilities. Saying "my earning of the CFA designation indicates my desire to maintain high standards" is allowed because it is a factual statement.

(Module 20.9, LOS 20: VII(B))